

anonymous person going by the pseudonym Satoshi Nakamoto created the first cryptocurrency, Bitcoin, in January 2009. They released it with a document to explain how it worked, and then, like Cinderella, disappeared from the ball.

Except unlike Cinderella, Nakamoto has never been found.

Bitcoin

Bitcoin was created to be immune from government intervention or manipulation. It was created on blockchain technology which, in simple terms, is just like a long piece of paper that records and verifies every single Bitcoin transaction into blocks. Lots of computers around the world match this up and as a result everything is accounted for and verified.

Through the blockchain you can see where each Bitcoin has moved from. From my pocket to yours, to your neighbour's and then back to me. It's all tracked, and as a result it's almost impossible to counterfeit.

Cryptocurrencies aren't an investment like a stock of Coca-Cola or Apple — they're like currency, like the USD or rupees. It's basically forex trading.

When you invest in one Bitcoin, which was only worth US\$1 in 2011, you make money when the value of the coin goes up. For example if you were lucky enough to purchase a Bitcoin for \$1 in 2011, you could have sold it for US\$1000 in 2013, making a profit of US\$999. Or US\$64 000 in 2021, making a profit of US\$63 999.

The benefit of Bitcoin is that it is finite; there is a maximum number of Bitcoins. Some suggest that because of this it can be used as a hedge against inflation, in the same way gold or silver is.

Ethereum

Ethereum is the second-largest cryptocurrency by market capitalisation (the total number of coins multiplied by the value of each coin), founded by a 17-year-old Russian named Vitalik Buterin. Vitalik worked for a Bitcoin magazine (yes, a literal magazine about Bitcoin) where he would pitch ideas to his team on how to make improvements, which often got ignored. He ended up creating Ethereum in 2015. The system that it runs on is called Ethereum and the currency itself is called Ether.